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Case Number: 25NNCV06884 Hearing Date: July 17, 2026 Dept: D

TENTATIVE RULING

Calendar: 5

Date: July 17, 2026

Case No: 25NNCV06884 Trial Date: n/a

Case Name: Hernandez v. Compass Group USA, Inc., et al.

MOTION TO COMPEL ARBITRATION

[9 U.S.C. § 1, et seq and CCP § 1281.2]

Moving Party: Defendant, Compass Group USA, Inc.

Responding Party: Plaintiff, Julio Cesar Hernandez

RELIEF REQUESTED:

An order compelling Plaintiff to arbitrate this matter and to stay the proceedings pending completion of arbitration.

CAUSES OF ACTION: from Complaint

1) Harassment in Violation of Gov. Code § 12940 et seq.

2) Disability Discrimination in Violation of Gov. Code § 12940 et seq.

- 3) Failure to Accommodate in Violation of Gov. Code § 12940(m)
- 4) Failure to Engage in Interactive Process in Violation of Gov. Code § 12940(n)
- 5) Age Discrimination in Violation of Gov. Code § 12940 et seq.
- 6) Failure to Prevent Discrimination in Violation of Gov. Code § 12940(k)
- 7) Retaliation in Violation § 12940(h)
- 8) Wrongful Termination
- 9) Meal and Rest Break Violations of Labor Code § 226.7
- 10) Failure to Pay Overtime & Wages
- 11) Failure to Pay All Compensation at Termination; Waiting Time Penalties
- 12) Violation of Business & Professions Code § 17200 et seq

SUMMARY OF FACTS:

This action arises out of an employment relationship. The Complaint alleges that on July 3, 2023, Compass Group USA, Inc. ("Defendant") hired Julio Cesar Hernandez ("Plaintiff") as a head cook at the JPL Café located in Pasadena, California. Plaintiff alleges that in March 2024, he expressed concerns about food temperature not being maintained at safe levels to his direct supervisor "Sarah" and the director "Christian." Plaintiff alleges that Christian instructed him to continue with these practices but to ensure compliance when inspectors were present. Plaintiff alleges that due to the repetitive and physical nature of his job duties, he began to suffer severe pain in his knees, which he reported to his supervisor. Plaintiff further alleges that Defendant and its agents made derogatory age-related comments about Plaintiff and other elderly employees and that Defendant had a systematic policy of pushing elderly employees to leave the company. Plaintiff also alleges various wage and hour claims. Defendant terminated Plaintiff on May 8, 2024, citing a reduction in hours and slowdown in work.

ANALYSIS:

Under both the Federal Arbitration Act, 9 U.S.C. § 1, et seq. (the "FAA"), and Title 9 of Part III of the California Code of Civil Procedure commencing at section 1281 (known as the California Arbitration Act), arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (*Winter v. Window Fashions Professions, Inc.* (2008) 166 Cal.App.4th 943, 947.)

Section 2 of the FAA provides, in pertinent part that "[a] written provision . . . to settle by arbitration a controversy thereafter arising out of such contract . . . shall be valid, irrevocable, and enforceable." (9 U.S.C. § 2.) Code of Civil Procedure section 1281.2 permits a party to file a motion to request that the Court order the parties to arbitrate a controversy. The Court may grant the motion if the Court determines that an agreement to arbitrate the controversy exists, "unless it determines that: (a) The right to compel arbitration has been waived by the petitioner; or (b) Grounds exist for rescission of the agreement." (CCP § 1281.2.)

A court's inquiry is limited to a determination of (1) whether a valid arbitration agreement exists and (2) whether the arbitration agreement covers the dispute. (9 U.S.C. § 4; *Chiron Corp. v. Ortho Diagnostics Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130; *Howsam v. Dean Witter Reynolds, Inc.* (2002) 537 U.S. 79, 84; *Omar v. Ralphs Grocery Co.* (2004) 118 Cal.App.4th 955, 961; *Lacayo v. Cataline Restaurant Group Inc.* (2019) 38 Cal.App.5th 244, 257 [Where moving party meets initial burden, "the party opposing arbitration must prove by a preponderance of the evidence any defense to the petition"].)

Existence of Valid Arbitration Agreement

The party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties. (CCP, § 1281.2.) The moving party can meet this initial burden by attaching to the petition a copy of the arbitration agreement purporting to bear the respondent's signature. (*Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541, 541-543.) Alternatively, the moving party can meet its initial burden by setting forth the agreement's provisions in the motion. (See *Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 219; see also Cal. Rules of Court, rule 3.1330.)

In support of the motion, Defendant attaches a copy of the Arbitration Agreement executed by Plaintiff on May 23, 2023. (Bailey Decl., Ex. A.)

Plaintiff argues that Defendant has not established the validity of Plaintiff's electronic signature because Defendants fails to show the efficacy of the security procedures used in the signing process. (Opp., pp. 1:9-3:11.) This argument is unavailing.

An opposing party can meet its burden to dispute an arbitration agreement by "testify[ing] under oath or declar[ing] under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement." (¶ (¶) *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165; see also *Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 846 [finding that although Ruiz did not deny the electronic signature was his, Moss Bros. had the burden of proving by a preponderance of the evidence that the electronic signature was authentic once Ruiz claimed he did not recall signing the agreement to arbitrate].) ¶ (¶)

Plaintiff does not dispute that the signature on the Arbitration Agreement is his, nor does he assert that he does not recall signing the Agreement. Challenging a signature's authenticity generally requires a declaration by the plaintiff stating he or she did not sign the agreement or does not recall signing it. (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1054; *Ruiz*, supra 232 Cal.App.4th at p. 846.)

In addition, Defendant presents ample indicia that the electronic signature and date on the Arbitration Agreement is attributable to Plaintiff. "[T]he burden of authenticating an electronic signature is not great." (*Ruiz*, 232 Cal.App.4th at p. 844.) ¶ (¶) "An ... electronic signature is attributable to a person if it was the act of the person. The act of the person may be shown in any manner, including a showing of the efficacy of any security procedure applied to determine the person to which the electronic record or electronic signature was attributable." (Civil Code, § 1633.9, subd. (a).) "For example, a party may establish that the electronic signature was 'the act of the person' by presenting evidence that a unique login and password known only to that person was required to affix the electronic signature, along with evidence detailing the procedures the person had to follow to electronically sign the document and the accompanying security precautions." (*Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541, 545, citing *Espejo*, supra, 246 Cal.App.4th at p. 1062.) ¶ (¶)

Here, Defendant presents an affidavit from its HRIS Operations Manager which details the electronic onboarding process by which employees sign the Arbitration Agreement. (Bailey Decl.) Applicants create and generate a username and unique password using PeopleHub, a human resources software system. (Bailey Decl., ¶¶ 3-4.) PeopleHub generates a password protected, unique identifying number and log-in for each employee. (Bailey Decl., ¶ 4.) "When the employee is ready to sign the document, the employee is prompted to enter his name and password to generate his electronic signature on the onboarding documents." (Bailey Decl., ¶ 5.) Defendant attaches a copy of the audit trail for the activity associated with Plaintiff's specific employee number. (Bailey Decl., Ex. B.) The audit trail shows that Plaintiff signed the Arbitration Agreement on May 23, 2023, at 16:28:17 UTC. (Bailey Decl., Ex. B.) Once the documents are signed, the manager cannot alter or change the employee's documents. (Bailey Decl., ¶ 13.) This information is sufficient evidence to authenticate

Plaintiff's electronic signature on the Arbitration Agreement.

Thus, the Court finds that Defendant has met its burden to establish the existence of a written arbitration agreement between the parties.

Arbitrability of Dispute

"[I]n determining whether a matter is subject to arbitration, courts apply the presumption in favor of arbitration [citation].... 'Doubts as to whether an arbitration clause applies to a particular dispute are to be resolved in favor of sending the parties to arbitration. The court should order them to arbitrate unless it is clear that the arbitration clause cannot be interpreted to cover the dispute.'" (California Correctional Peace Officers Assn. v. State of California (2006) 142 Cal.App.4th 198, 205.)

In relevant portion, the Arbitration Agreement states:

"I and Compass Group USA, Inc. and its subsidiaries, sectors, affiliates, and divisions (collectively, "Compass Entities") mutually agree to use binding individual arbitration as the sole and exclusive means to resolve all legal claims between us, including without limitation those that may arise out of or be related to my employment, compensation, or termination of my employment, except as provided below. For all claims covered by this Agreement, I and the Compass Entities waive our rights to bring a claim against the other in a court of law and in doing so specifically waive our rights to a jury trial or other judicial proceeding. Except as provided below, any claim, dispute, and/or controversy that I may have against the Compass Entities (or their directors, officers, employees, or agents, whether current, past, or future), or that the Compass Entities may have against me, shall be submitted to and determined exclusively by binding arbitration under the Federal Arbitration Act ("FAA") (in conformity with the procedures of the California Arbitration Act -Cal. Code Civ. Proc. Sec 1280 et seq. including section 1283.05 and all of the Act's other mandatory and permissive rights to discovery, unless such provisions are preempted by the FAA). Except as carved out below, "claim, dispute, and/or controversy" includes, but is not limited to, any claims of alleged discrimination, harassment, or retaliation; claims for pay, commissions, bonuses, or benefits; claims regarding any background check or form or process regarding the same; and any other federal, state, or local statute, ordinance, executive order, regulation or any amendments thereto or any other legal theory. The FAA applies to this Agreement because my employer's business involves interstate commerce." (Bailey Decl., Ex. A.)

Accordingly, the Arbitration Agreement applies to all legal claims arising out of or relating to Plaintiff's employment, compensation, or termination, including "any claims of alleged discrimination, harassment, or retaliation," as well as claims relating to wages and pay. (Bailey Decl., Ex. A.) Here, Plaintiff asserts claims for harassment and discrimination, retaliation, wrongful termination, and various wage and hour violations. (Compl.) Each of these causes of action arises out of, or relates to, Plaintiff's employment, compensation, or termination and therefore falls within the scope of the Arbitration Agreement.

Thus, the Court finds that the Arbitration Agreement covers the instant dispute. The burden thus shifts to Plaintiff to establish that a defense exists to enforcement of the agreement.

Defenses

Under the FAA, a party may challenge the validity or applicability of the arbitration provision by raising the same defenses available to a party seeking to avoid the enforcement of any contract. (Cox v. Ocean View Hotel Corp. (2008) 553 F.3d 1114, 1121.)

"Both procedural unconscionability and substantive unconscionability must be shown [for a finding of unconscionability to exist], but 'they need not be present in the same degree' and are evaluated on a 'sliding scale.' [Citation.] '[T]he more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.'" (Pinnacle Museum Tower Assn. v. Pinnacle Market Dev. (US), LLC (2017) 55 Cal.4th 223, 247.)

A party claiming that one or more provisions of an arbitration agreement is unconscionable, must not only prove unconscionability in the abstract, but also show how such unconscionability specifically affects the party's arbitration claim. (Htay Htay Chin v. Advanced Fresh Concepts Franchise Corp. (2011) 194 Cal.App.4th 704, 714 [partial limitation on award of fees and costs for "all claims" limiting amount to one-third of any compensatory damages awarded may be unconscionable, but is not a defense in the absence of a showing that the party would in fact be entitled to recover attorney's fees].)

Procedural Unconscionability

Procedural unconscionability "addresses the circumstances of contract negotiation and formation, focusing on oppression or surprise due to unequal bargaining power." (Pinnacle Museum Tower Assn., supra, 55 Cal.4th at p. 246.) Established case law explains that "[o]ppression' arises from an inequality of bargaining power which results in no real negotiation and 'an absence of meaningful choice' [and] '[s]urprise' involves the extent to which the supposedly agreed-upon terms of the bargain are hidden [in the agreement] by the party seeking to enforce the disputed terms." (Zullo v. Superior Court (2011) 197 Cal.App.4th 477, 484.)

Plaintiff argues that the Arbitration Agreement is procedurally unconscionable because it is a mandatory employment-based contract of adhesion. (Opp., pp. 4:6-5:23.) "When arbitration is a condition of employment, there is inherently economic pressure on the employee to accept arbitration. This alone is a fairly low level of procedural unconscionability." (Cisneros Alvarez v. Altamed Health Services Corporation (2021) 60 Cal.App.5th 572, 591) Thus, the Agreement is minimally procedurally unconscionable. Accordingly, Plaintiff must show a strong degree of substantive unconscionability for the Arbitration Agreement to be found unenforceable.

Substantive Unconscionability

Substantive unconscionability focuses on the terms of the agreement and whether those terms are so one-sided as to shock the conscience." (Kinney v. United HealthCare Servs., Inc. (1999) 70 Cal.App.4th 1322, 1330.)

Plaintiff argues that the Arbitration Agreement is substantively unconscionable because it is non-mutual. (Opp., pp. 5:27-8:17.) Upon review, the Agreement is not one-sided. The Arbitration Agreement mutually applies to all disputes between Plaintiff and Defendant. (Bailey Decl., Ex. A ["I and Compass Group USA, Inc. [...] mutually agree to use binding individual arbitration as the sole and exclusive means to resolve all legal claims between us."].) Plaintiff argues that the Agreement identifies 9 categories of claims covered by the Agreement which are claims that only an employee would bring. (Opp., p. 7:2-4.) However, the Agreement plainly identifies these categories as examples of covered claims, not as an exclusive or exhaustive list. (Bailey Decl., Ex. A.) Thus, Plaintiff fails to show a strong degree of substantive unconscionability.

Accordingly, the Court finds that a valid arbitration agreement exists between the parties which covers the dispute at issue.

The motion is GRANTED.

RULING:

Defendant Compass Group USA, Inc.'s Motion to Compel Arbitration is GRANTED.

The case is STAYED pending completion of arbitration.

DEPARTMENT D IS CONTINUING TO CONDUCT AND ENCOURAGE

VIDEO APPEARANCES

If you wish to appear remotely on LACourtConnect, you may register by visiting www.lacourt.ca.gov to schedule a remote appearance. Please note that LACourtConnect offers free audio and video appearances. Department D is now requiring either live or VIDEO appearances, not audio appearances.